GLOSSARY

Accounting policies	The specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting **financial statements**.
Accrual (an)	Expense of goods or services recognised as incurred in advance of invoice.
Accrual basis (of accounting)	The effects of transactions and other events are recognised when they occur (and not as cash or its equivalent is received or paid) and they are recorded in the **financial statements** of the periods to which they relates (also known as 'matching').
Amortisation	The systematic allocation of the **depreciable amount** of an **asset** over its **useful life**. (Usually refers to intangible non-current assets).
Asset	A resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity
Balance sheet	See **statement of financial position**
Capital employed	Total **assets** less **current liabilities** i.e. business assets financed by various longer term financing such as **equity** and **loans payable**.
Capital expenditure	Expenditure related to the purchase or enhancements of **non-current assets**. (Also referred to as 'Capex').
Carrying amount	The amount at which an **asset** or **liability** is recognised in the **statement of financial position**.
Cash	Cash on hand and demand deposits
Cash equivalents	Short-term, highly liquid investments that are readily convertible into known amounts of cash and that are subject to an insignificant risk of changes in value.
Cost of goods sold	The direct cost of those goods sold during the period (also abbreviated to COGS).
Cost of sales	A wider definition than **cost of goods sold**.
Creditors	See **payables**
Current assets	**Cash** or other **assets** which are converted into cash in the normal courses of business e.g. **inventory, payables**.
Consolidated financial statements	The **financial statements** of a **parent** and its **subsidiaries** presented as those of a single economic entity. (Also referred to as 'group accounts').
Contingent asset	A possible **asset** that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one more uncertain future events not wholly within the control of the entity.
Contingent liability	A possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one more uncertain future events not wholly within the control of the entity. If it is not probable or cannot be measured reliably then it is not recognised in the financial statements but may be referred to in the notes.
Current liabilities	Amounts due to other parties (e.g. suppliers, banks) that are due to be settled within 12 months after the **reporting date.**
Debtors	See **receivables**.
Depreciable amount	The cost of an **asset** less its **residual value.**
Depreciation	The systematic allocation of the **depreciable amount** of an asset over its **useful life.** (Usually refers to tangible **non-current assets).**

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Dividend	Cash payment to shareholders.
Earnings	The profits left for shareholders once all the business costs (including interest and tax) have been met. Some will be paid out as dividend, the rest will be reinvested within the business and is typically referred to as **retained profit or earnings**.
EBIT	**Earnings** before interest and tax (EBIT) See **operating profit**.
EBITDA	**Earnings** before interest, tax, depreciation and amortisation.
Earnings per share (EPS)	**Earnings** available to ordinary shareholders divided by the average number of shares in issue over the period.
Equity	Ownership interest in a business relating to those without any guaranteed returns. The residual interest in the assets of the entity after deducting all its **liabilities**. Made up of share capital plus other **reserves** such as **share premium** and **retained earnings** whether distributable or non-distributable. (Also known as shareholders' funds).
Finance lease	A **lease** that transfers substantially all the risks and rewards incidental to the ownership of an **asset**.
Financial statements	Structured representation of the financial position, financial performance and cash flows of an entity.
Financing activities	Activities that result in changes in the size and composition of the contributed **equity** and borrowings of the entity.
Fixed assets	See **non-current assets**.
FRS 102	*FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland*. (available to non-listed companies)
Fully diluted Earnings Per Share (EPS)	EPS recalculated to adjust for potential shares which might be issued as a result of the exercise of share options, convertible bonds etc.
GAAP	Generally Accepted Accounting Practice in a given jurisdiction. E.g. UK, US or international.
Gains	Increases in economic benefits that meet the definition of income but are not revenue (such as revaluations).
Gearing	The relationship of debt finance to equity usually expressed as a percentage. Also referred to as leverage.
Going concern	An entity is a going concern unless management either intends to liquidate the entity or to cease trading or has no realistic alternative but to do so.
Goodwill	Future economic benefits arising from **assets** that are not capable of being individually identified and separately recognised. Typically arises in acquisitions as the excess of the fair value of consideration paid for a business over the fair value of the identifiable assets (both tangible and intangible) and liabilities acquired.
Gross margin	**Gross profit** as a percentage of sales.
Gross profit	Sales less **cost of sales.**
Group	A **parent** and all its **subsidiaries.**
Impairment	Loss where the **recoverable amount** of an asset, being the higher of **value in use** or **net realisable value** by sale, is less than the **carrying amount** of the asset.
Income statement	Financial statement that presents all items of income and expense recognised in a reporting period, excluding the items of other comprehensive income. In the UK Companies Act this statement is referred to as the profit and loss account.

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Intangible asset	An identifiable non-monetary **asset** without physical substance.
Inventory	Goods acquired for production or resale as adjusted for direct production (manufacturing or conversion) costs. The total value of raw materials, work in progress and finished goods. May also be referred to as stocks.
Lease	An agreement whereby the lessor conveys to the lessee in return for a payment or series of payments the right to use the asset for an agreed period of time.
Liability	A present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.
Loans payable	Financial liabilities other than short term trade payables on normal credit terms.
Material	Omissions or misstatements of items are material if they could, individually or collectively, influence the economic decisions of users taken on the basis of the financial statements. It is contextual with no strict definition.
Net book value	**Non-current assets** are carried in the balance sheet at cost (or a revalued amount) less accumulated depreciation or amortisation.
Net profit	An undefined term. Can be operating profit or profit after exceptional, investment income and interest. It may be reported before or after tax. In the US, net income is after tax.
Net realisable value	Expected net sales proceeds receivable (after selling and other associated costs).
Non-current assets	Assets that are not current and are typically held within the business for over 12 months. Also referred to as **fixed assets**.
Operating activities	The principal revenue-producing activities of the entity and other activities that are not investing or financing activities.
Operating expenses	Expenses involved in operating activities such as cost of sales, distribution and administration. Also referred to as 'opex' or revenue expenditure.
Operating lease	A **lease** that does not transfer substantially all the risks and rewards incidental to ownership. A **lease** that is not an operating lease is a **finance lease**.
Operating profit	Profit after all operating costs (product or service related and selling, distribution and general administration expenses) have been considered, but before other investment income, financing costs and tax. Also referred to as Profit before interest and tax (PBIT) or Earnings before interest and tax (EBIT).
Ordinary share	An **equity** instrument that is subordinate to all other classes of equity instrument.
Other comprehensive income	Items of income and expense that are not recognised in profit or loss.
Parent	An entity that has one or more subsidiaries.
Payables	The amount of money a company owes to its suppliers. Also referred to as trade payables, accounts payable and creditors.
Prepayment	Goods or services paid for in advance. Costs are deferred to the accounting period in which the benefits are received.
Profit and loss	See income statement.

GLOSSARY

Property, plant and equipment (PPE)	Tangible **assets** that: -are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes, and -are expected to be used during more than one period (typically 12 months).
Provision	Accounting estimate for a probable **liability** which is uncertain in timing or amount.
Prudence	The inclusion of a degree of caution in the exercise of the judgements needed in making the estimates required under conditions of uncertainty, such that assets or income are not overstated and liabilities and expenses are not understated.
Receivables	The sums owed to the entity by its customers. Also referred to as trade receivables, accounts receivable and debtors.
Recoverable amount	The higher of an asset's fair value less costs to sell and its value in use.
Reporting date	The end of the latest period covered by the **financial statements.**
Reporting period	The period covered by **financial statements**.
Reserves	A collective term for undistributed profits which form part of shareholders' funds or **equity**. The most common reserves are **retained profits/earnings, share premium, and revaluation.**
Retained profits/earnings	Profits that are reinvested in the business (after dividend distribution).
Residual value (of an asset)	The estimated amount that an entity would currently obtain from disposal of an **asset,** after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its **useful life**.
Revaluation reserve	A non-distributable **reserve** arising from the gain recognised in from revaluing **asset**s (typically property).
Share option	A contract that gives the holder the right, but not the obligation, to subscribe to the entity's shares at a fixed or determinable price for a specific period of time.
Share premium	If shares are issued for a price in excess of their nominal value then the difference is accounted for in a share premium reserve.
Statement of cash flows	Financial statement that provides information about the changes in **cash** and **cash equivalents** of an entity for a period, showing separately changes during the period from operating, investing and financing activities.
Statement of financial position	Financial statement that presents the relationship of an entity's **assets, liabilities** and **equity** as of a specific date. Under the UK Companies Act 2006 this is referred to as a balance sheet.
Stocks	See **inventory.**
Subsidiary	An entity that is controlled by another entity (known as the p**arent**).
Substance over form	Recognising the commercial nature and intention behind a transaction rather than the strict legal form.

GLOSSARY

Taxable profits	Profits chargeable to corporation tax as per Her Majesty's Revenue and Customs (HRMC) not as per accounting standards.
Understandability	The presentation of information in a way that makes it comprehensible by users who have a reasonable knowledge of business and economic activities and accounting and a willingness to study the information with reasonable diligence.
Useful life	The period over which an **asset** is expected to be available for use by an entity or the number of production or similar units expected to be obtained from the **asset** by an entity.
Value in use	The present value of the future cash flows expected to be derived from an asset.
Working capital	Funds used to provide the flow of goods and materials, services and credit. Typically the sum of **inventory, receivables** and **cash** less **payables.**
Written down value	Revised **carrying amount** after an **impairment**